METHODOLOGY DOCUMENT
MSCI SUSTAINABILITY AND CLIMATE

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MSCI ESG Ratings Methodology: Responsible Investment Key Issue

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Introduction

This document provides essential information on the components of the Responsible Investment Key Issue to enable users of ESG Ratings to understand how MSCI Sustainability & Climate's (MSCI S&C's)[1] outputs are determined. Responsible Investment is a Key Issue in the Social Pillar of the MSCI ESG Ratings model. Companies are evaluated on their integration of environmental, social and governance considerations in the management of their own assets or the assets they manage on behalf of others. For additional details on the MSCI ESG Ratings Model, refer to the Data, ratings and scores section of "ESG Ratings Methodology."

Exhibit 1: MSCI ESG Key Issue hierarchy

3 Pillars	10 Themes	33 ESG Key Issues
Environmental	Climate Change	Carbon Emissions
		Climate Change Vulnerability
		Financing Environmental Impact
		Product Carbon Footprint
	Natural Capital	Biodiversity & Land Use
		Raw Material Sourcing
		Water Stress
	Pollution & Waste	Electronic Waste
		Packaging Material & Waste
		Toxic Emissions & Waste
	Environmental Opportunities	Opportunities in Clean Tech
		Opportunities in Green Building
		Opportunities in Renewable Energy
Social	Human Capital	Health & Safety
		Human Capital Development
		Labor Management
		Supply Chain Labor Standards
	Product Liability	Chemical Safety
		Consumer Financial Protection
		Privacy & Data Security
		Product Safety & Quality
		Responsible Investment
	Stakeholder Opposition	Community Relations
		Controversial Sourcing
	Social Opportunities	Access to Finance
		Access to Health Care
		Opportunities in Nutrition & Health
Governance	Corporate Governance	Board
		Pay
		Ownership & Control

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3 Pillars	10 Themes	33 ESG Key Issues
		Accounting
	Corporate Behavior	Business Ethics
		Tax Transparency

Risks associated with this Key Issue

- Lower security values due to unmitigated or overlooked ESG risks.
- Client attrition due to mismanagement of investment risk.
- Higher returns from ESG investments.

Responsible Investment Key Issue score

The Responsible Investment Key Issue score evaluates the company's level of exposure to, and management of, risks on this Key Issue. The Key Issue score is based on the Exposure score and the Management score using the formula below. The Exposure score and the Management score are combined such that a higher level of exposure requires a higher level of demonstrated management capability in order to achieve the same overall Key Issue score.

$$KI_i = 7 - (\max(EXP_i, 2) - MGMT_i)$$

Where:

- KI_i is the Key Issue score for company i.
- EXP_i is the Exposure score for company i.
- $MGMT_i$ is the Management score for company i.

Responsible Investment Management framework

The table below outlines the indicators mapped to their respective components that inform the Responsible Investment Management score, excluding controversies. MSCI S&C assigns each indicator a default weight. Indicator weights may be adjusted at the company level to reflect the relevance of the indicator to the company's business activities. If a company has no exposure to the business activities covered by an indicator, the indicator is assigned a weight of zero.

Component	Sustainability Indicator
Responsible Investment Integration score	Dedicated ESG analysts responsible for analyzing ESG issues in investment process

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	Responsible investment policy to incorporate ESG considerations
	Highest level of ESG factors incorporation in investment process across asset classes
Responsible Investment Engagement score	Dedicated staff responsible for ESG engagement
	Detailed engagement policy that addresses environmental, social and governance issues

Responsible Investment Management score

The Responsible Investment Management score evaluates the company's ability to manage its exposure to risks on this Key Issue. It is based on weighted average of the score associated with each relevant indicator, modified by controversies.

This score is derived from indicators that are scored on a 0-10 scale, with 10 corresponding to best practice. Refer to the Analyzing risk management section of "ESG Ratings Methodology" for additional details. Sources are company disclosures except where otherwise indicated.

The following formula is used to calculate the Responsible Investment Management score - Excluding Controversies:

$$MGMT_i = \sum Indicator_Score_{j,i} \ * \ Indicator_Weight_{j,i}$$

Where:

- $MGMT_i$ is the Management score - Excluding Controversies for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.

The following formula is used to calculate the scores for the components

$$COMP_{c,i} = \sum_{j \in c} Indicator_Score_{j,i} \ * \ Indicator_Weight_Scaled_{j,i}$$

Where:

- $COMP_{c,i}$ is the component score for component c, for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.

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- $Indicator_Weight_Scaled_{j,i}$ is the scaled weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The following formula is used to calculate the weights for the components

$$COMP_Weight_{c,i} = \sum_{j \in c} Indicator_Weight_{j,i}$$

Where:

- $COMP_Weight_{c,i}$ is the component weight for component c for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The definitions of the data points in each component are given below:

Responsible Investment Integration score

The Responsible Investment Integration score evaluates the company's initiatives to integrate ESG considerations into the investment process through policies, dedicated staff, and application across asset classes. Highest initiatives reflect comprehensive ESG incorporation across investments with clear policies and procedures, and dedicated resources. It is expressed as a 0–10 score, where 10 indicates strong initiatives.

- **Dedicated ESG analysts responsible for analyzing ESG issues in investment process**

Definition: Indicates whether the company has a dedicated individual or team responsible for analyzing ESG issues in the investment process or if the company provides training on ESG issues to investment analysts.

- **Responsible investment policy to incorporate ESG considerations**

Definition: Indicates whether the company has policies and procedures to incorporate ESG considerations in the investment process.

- **Highest level of ESG factors incorporation in investment process across asset classes**

Definition: Assesses the highest level of ESG factors incorporation observed across the investment process for six asset classes: listed equity, corporate fixed income, non-corporate fixed income, private equity, real estate, and hedge funds/alternative investments. Expressed as a 0–10 score, where 10 indicates highest level of incorporation.

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Responsible Investment Engagement score

The Responsible Investment Engagement score evaluates the company's initiatives to integrate ESG considerations into engagement with investees or proxy voting through formal policies and dedicated analyst capacity. Highest initiatives reflect detailed ESG engagement or proxy voting policies and specialized resources embedded in the investment process. It is expressed as a 0–10 score, where 10 indicates strong initiatives.

- **Dedicated staff responsible for ESG engagement**

Definition: Indicates whether the company has a dedicated individual or team responsible for monitoring and implementing its ESG engagement or proxy voting policies.

- **Detailed engagement policy that addresses environmental, social and governance issues**

Definition: Indicates whether the company has an engagement or proxy voting policy that addresses environmental, social and governance issues.

Controversies

A controversy deduction ranging from 0 to 5 points is subtracted from the overall Management score based on the severity, status, and the company's role in the controversies facing the company on this Key Issue. The following categories of controversies are used in the assessment:

- Controversial investments.

For more details on how controversies are included in the MSCI ESG Ratings model, refer to the Controversies cases section of "ESG Ratings Methodology."

Responsible Investment Exposure score

The Responsible Investment Exposure score evaluates the company's exposure to risks on this Key Issue. It is based on the Business Exposure score. The Business Exposure score is scored on a 0-10 scale, with 10 corresponding to the highest risk and 0 corresponding to the lowest risk. Refer to the Analyzing risk exposure section of "ESG Ratings Methodology" for additional details. The following formula is used in the Exposure score calculation:

$$EXP_{REI,i} = BUS_{REI,i}$$

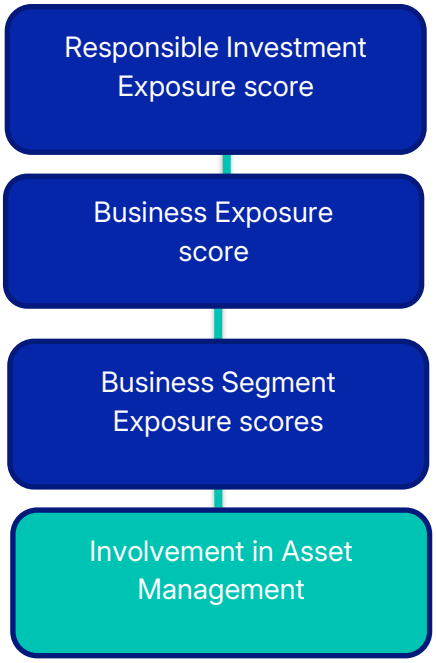
Where:

- $EXP_{REI,i}$ is the Responsible Investment Exposure score of company i.

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- $BUS_{REI,i}$ is the Business Exposure score of company i.

Exhibit 2: Exposure score components



Business Exposure score

The Business Exposure score is a weighted average of the Business Segment Exposure scores of a company's business segments. Scores are weighted by the proportion of a company's total revenue from each business segment, using the following formula to calculate the Business Exposure score:

$$BUS_{REI,i} = \sum_{j=1}^{n_i} w_{Revenue,i,j} BSE_{REI,j}$$

Where:

- $BSE_{REI,j}$ is the Business Segment Exposure score for business segment j.
- $w_{Revenue\ i,j}$ is the weight of business segment j for company i based on the contribution to total company revenue.
- n_i is the number of business segments of company i.

Business Segment Exposure scores

The Business Segment Exposure score of a business segment is based on a mapping of the business segment as disclosed by the company to a corresponding business activity. MSCI S&C uses the Standard Industrial Classification (SIC) system along with industry-specific adjustments to define

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business activities. The score associated with a business activity is used to calculate a Business Segment Exposure score. Each business activity score is determined by a qualitative assessment of whether a business activity has a core involvement in asset management and investment activities (property and casualty insurance, life and health insurance, asset management, investment bank and brokerage, or other). Business activities where companies are involved in managing their own investment assets, manage investment assets on behalf of their clients, or both get a higher Business Segment Exposure score.

Data sources

The following sources are used to determine the Responsible Investment Exposure score:

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